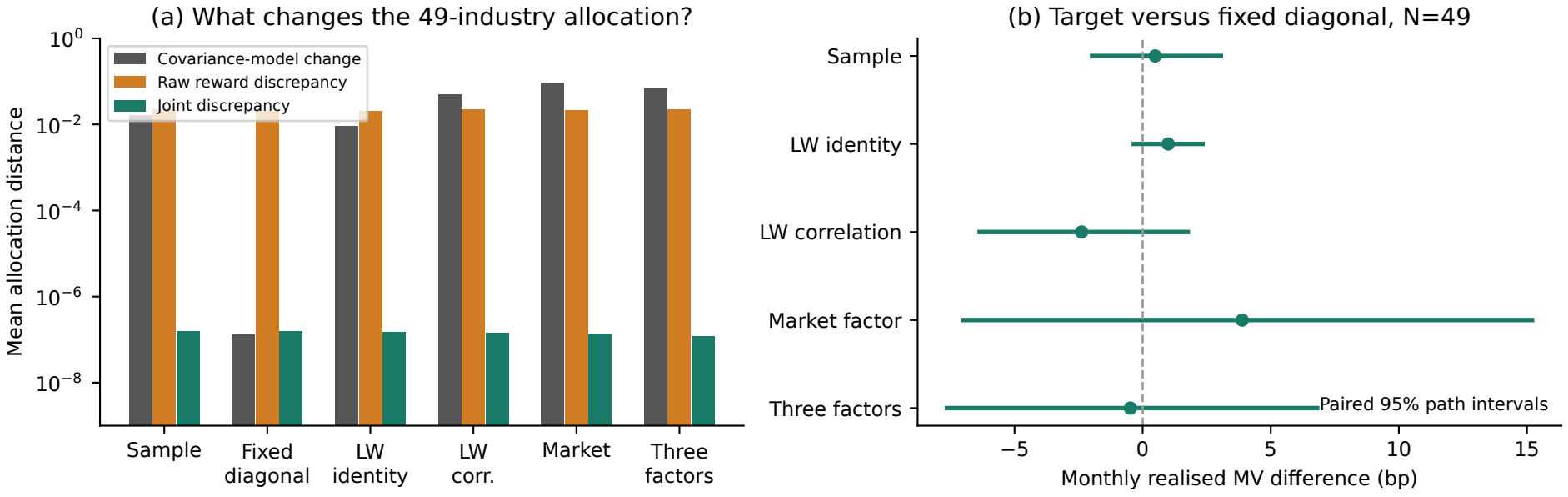
(a) What changes the 49-industry allocation?
Covariance-model change
Raw reward discrepancy
Joint discrepancy
Mean allocation distance
10^{0}
10^{-2}
10^{-4}
10^{-6}
10^{-8}
Sample
Fixed diagonal
LW identity
LW corr.
Market
Three factors
(b) Target versus fixed diagonal, N=49
Sample
LW identity
LW correlation
Market factor
Three factors
Paired 95% path intervals
−5
0
5
10
15
Monthly realised MV difference (bp)